REGULATORY LANDSCAPE

LFM Obligations	Relevance for LFM	Anchor status (verification notes)
Texas Disciplinary Rules of Professional Conduct (TDRPC) Rule 1.01 • Technological competence expectation.	• Attorneys should have an understanding of how AI tools handle and store client information. • There should be an understanding of the terms of service, data retention and privacy practices related to AI tools.	• Confirmed based on primary source at: https://www.legalethicstexas.com/resources/rules/texas-disciplinary-rules-of-professional-conduct/competent-and-diligent-representation/ • Comment 8 (Maintaining Competence) of the TDRPC Rule 1.01 document states "…each lawyer should strive to become and remain proficient and competent in the practice of law, including the benefits and risks associated with relevant technology. To maintain the requisite knowledge and skill of a competent practitioner, a lawyer should engage in continuing study and education."
Texas Disciplinary Rules of Professional Conduct (TDRPC) Rule 1.05 • Confidentiality expectation.	• Attorneys should not share confidential client information with unsecured or unvetted AI tools.	• Confirmed based on primary source at: https://www.legalethicstexas.com/resources/rules/texas-disciplinary-rules-of-professional-conduct/confidentiality-of-information/ • Although the term artificial intelligence is not explicitly stated in TDRPC Rule 1.05 document, its nonetheless places an obligation on law firms regarding maintaining confidentiality with third-party technology and data transmission protocols, including generative AI systems and cloud LLM vendors.
Opinion 705 • Competence and confidentiality. • Verification and candor.	• AI-generated content used without verification can expose attorneys to violations of rules on honesty and candor to the court. • Human oversight of AI output should be treated as mandatory.	• Confirmed based on primary source at: https://www.legalethicstexas.com/resources/opinions/opinion-705/ • Page 6 of the Opinion 705 document states "Among many other issues, lawyers should acquire basic technological competence before using any generative AI tool, should always

• Fair billing and transparency. • Client disclosure.	• Efficiencies from AI should benefit the client under hourly billing and attorneys cannot bill for hours not genuinely worked. • Attorneys should inform clients when AI-driven tools will be used in delivering legal services.	ensure that the tool does not imperil confidential client information, should always verify the accuracy of any responses received from a generative AI tool, and should not charge clients for the time "saved" by using a generative AI program."
Federal court disclosure layer ***Northern District of Texas*** ***Southern District of Texas*** ***Other Federal Districts*** ***Texas State Courts*** • AI disclosure (transparency). • Human oversight. • Accountability.	• Litigants should certify the use (or not) of generative AI in filing. • Litigants should perform mandatory (human) accuracy checks on any AI-generated content. • Generative AI tools (such as ChatGPT or legal AI assistants) should never replace a lawyer's independent legal judgment.	• Confirmed based on primary source at: https://www.txnd.uscourts.gov/ The Northern District of Texas Local Civil Rule 7.2(f) states "A brief prepared using generative artificial intelligence must disclose this fact on the first page under the heading 'Use of Generative Artificial Intelligence'." This is also supported by the standing order of May 30, 2023 by Judge Brantley Starr of the US District Court for the Northern District of Texas requiring attorneys and pro se litigants appearing before his court to file a certificate declaring whether any portion of their filings will be drafted using generative AI tools. • Conditional confirmation based on primary source at: https://www.txs.uscourts.gov/district/genord#2025 The Southern District of Texas General Order 2025-04 (Rule 11) states "Attorneys are cautioned against submitting to the Court any pleading, written motion, or other paper drafted using generative artificial intelligence without checking the submission for accuracy as certain technologies may produce factually or legally inaccurate content and should never replace the lawyer's independent legal judgement."
Health Insurance Portability and Accountability	• Personal injury law firms may need Business Associate Agreements (BAAs)	• Confirmed regarding HIPAA based on primary source at: https://www.hhs.gov/hipaa/for-professionals/privacy/laws-regulations/index.html#end

Act (HIPAA) and Texas Medical Records Privacy Act (TMRPA) • Privacy • Human oversight. • Accountability. • Confidentiality.	with all vendor third parties who touch Protected Health Information (PHI). • Firms should mandate strict compliance oversight down the vendor chain for any subcontractor receiving PHI. • Firms should conduct regular security and privacy awareness training for all employees upon hire and periodically thereafter. • Firms should ensure that a HIPAA-compliant authorization form is in place before requesting or disclosing client medical records. • Firms should report a PHI breach to affected individuals without unreasonable delay, and no later than 60 calendar days after discovery.	HIPAA guidelines apply to LFM only if the firm acts as a "Business Associate". A business associate is a person or organization, other than a member of a covered entity's workforce, that provides certain services to, a covered entity that involve the use or disclosure of individually identifiable health information. To this extent, "HIPAA's privacy rule protects all '*individually identifiable health information'* held or transmitted by a covered entity or its business associate, in any form or media, whether electronic, paper, or oral." • Confirmed regarding TMRPA based on primary source at: https://guides.sll.texas.gov/privacy-and-personal-information/medical-records#s-lg-box-31634158 The Texas State Law Library states "The Texas Medical Records Privacy Act requires 'covered entities' to comply with HIPAA. It defines a 'covered entity' as any person who assembles, collects, or uses health information. Also, the Texas Health and Safety Code (chapter 181) states that with some exceptions, a covered entity may not: • Re-identify information (Section 181.151); • Use personal health information for marketing purposes without permission (Section 181.152); • Sell personal health information (Section 181.153); and • fail to notify an individual when their information might be disclosed electronically (Section 181.154). If a covered entity violates these laws, they may be subject to civil penalty or disciplinary action."

Texas Business and Commerce Code Chapter 521 (Identity Theft Enforcement and Protection Act) • Privacy • Confidentiality.	• Firms who own computerized data that includes sensitive personal information shall disclose any breach of system security to individuals whose personal information was acquired by an unauthorized person. • Breach disclosure shall be made without unreasonable delay and not later than the 60th day after the breach occurred.	• Confirmed based on primary source at: https://tcss.legis.texas.gov/resources/BC/htm/BC.521.htm Section 521.051 of this Act states "A person may not obtain, possess, transfer, or use personal identifying information of another person without the other person's consent or effective consent and with intent to obtain a good, a service, insurance, an extension of credit, or any other thing of value in the other person's name."
Texas Responsible AI Governance Act (HB 149) (TRAIGA) • Transparency • Fairness. • Intent	• An AI system shall not be deployed with the intent to unlawfully discriminate against a protected class.	• Unconfirmed but subject to further verification: https://capitol.texas.gov/tlodocs/89R/billtext/html/HB00149F.htm Section 552.056 of TRAIGA (Unlawful Discrimination) states "A person may not develop or deploy an artificial intelligence system with the intent to unlawfully discriminate against a protected class in violation of state or federal law."
Texas Data Privacy and Security Act (TDPSA) • Privacy • Accountability. • Confidentiality.	• Personal identifying information of a client should not be obtained, possessed or transferred without the client's consent. When obtained with consent, such information should be used with the intent to achieve an objective with value in the client's name.	• Unconfirmed but subject to further verification: https://capitol.texas.gov/tlodocs/88R/billtext/html/HB00004F.htm Section 541.101 of TDPSA (Controller Duties; Transparency) states "A controller may not process the sensitive data of a consumer without obtaining the consumer's consent, or, in the case of processing the sensitive data of a known child..."